AR 2EB

ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO

LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Airbnb

NASDAQ : ABNB · Mature-Company DCF

$103.69B mkt cap · 597M sh · $12B cash, $2.5B debt · ~$9.5B net cash; $1.59B stock comp (13% of revenue); ~$3.8B/yr buyback; Revenue $12.24B FY25 (+10%); FCF $4.6B (38%), $3.0B (25%) after stock comp; ~31× EV/FCF after stock comp (~20× reported); 2026 growth +18%/+17% in Q1/Q2

22 October 2026 · the qualitative

$173.69

THE CENTRAL QUESTION

At ~31× FCF after stock comp, is Airbnb's 2026 re-acceleration durable — or do fading currency and World Cup boosts, AI booking agents and regulation pull growth back to high-single digits?

Airbnb's reported FY25 FCF of $4.6B (38% of revenue) excludes $1.59B of stock comp (13%); net of it, FCF is ~$3.0B (25%), and the ~$94B enterprise value is ~31× that (~20× reported). Growth re-accelerated in 2026 (+18%/+17% in Q1-Q2; guide raised twice to at least mid-teens, ~3 points of it currency) as nights outgrew Booking's rental business (+10% vs +4% in Q2). The DCF asks whether that pace holds once currency and World Cup boosts fade, AI booking agents launch without Airbnb, and regulation caps city supply. Net of stock comp, the most likely case (growth near 10%) sits ~17% below the price; 72% of the probability sits below it.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) -17.5% · 72% at or below spot

$144.24

expected fair value today

-17.0% vs spot $173.69

FORWARD COMPOUNDED VALUE

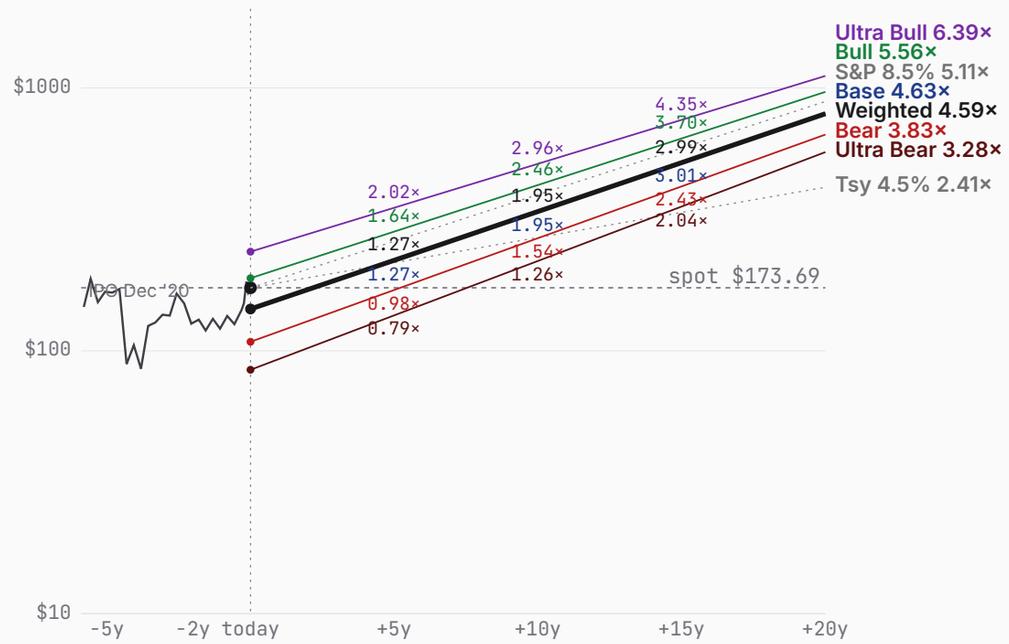
+5y	+10y	+15y	+20y
$220.99	$338.78	$519.70	$797.75
1.27× spot	1.95× spot	2.99× spot	4.59× spot

WEIGHTING RATIONALE

Ultra Bear 12% Regulation + maturation; ~$85 (-51%).
Bear 25% High-single growth; regulation; ~$108 (-38%).
Base 35% Mid-teens 2026, then ~10%; ~$143 (-17%).
Bull 20% Experiences/intl re-accel; ~$189 (+9%).
Ultra Bull 8% End-to-end travel hub; ~$238 (+37%).

Bull (20%) + Ultra Bull (8%) together contribute $56.85 — 39% of the $144.24 expected value despite 28% combined probability. Today's spot ($173.69) sits 20% above the weighted expected; the forward-weighted value reaches spot in about 2 years.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$84.71	$108.22	$143.35	$188.93	$238.29
-51.2% vs spot	-37.7% vs spot	-17.5% vs spot	+8.8% vs spot	+37.2% vs spot
CAGR +4.9% WACC 10.0% CAGR +4.9% Prob 12%	CAGR +7.4% WACC 9.5% CAGR +7.4% Prob 25%	CAGR +10.8% WACC 9.0% CAGR +10.8% Prob 35%	CAGR +13.2% WACC 8.5% CAGR +13.2% Prob 20%	CAGR +15.8% WACC 8.0% CAGR +15.8% Prob 8%
Regulation + maturation; growth stalls.	Decelerates to high-single; regulation bites.	Mid-teens 2026, then ~10%; Experiences ramps.	Experiences/Services + international re-accel.	End-to-end travel hub; AI concierge.

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AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO — LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Airbnb scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 12% Bear 25% Base 35% Bull 20% Ultra Bull 8% · Weighted expected $144.24 (-17.0% vs spot)

ULTRA BEAR $84.71

-51.2% vs spot

Probability 12%

Regulation + maturation; growth stalls.

WHY 12%

Regulation is the structural bear: NYC listings fell ~92%, Spain fined Airbnb EUR65M. 12% weight on bans + maturation capping the network.

WHAT HAPPENS

City STR bans spread (Barcelona's 2028 phase-out as the template), growth decays toward GDP-plus, and Experiences/Services never monetizes. After the 2026 currency and World Cup lift, revenue grows only ~3%; the premium multiple de-rates toward Booking's.

DCF ~$85 (-51%) — still a cash machine at a ~23% FCF margin after stock comp, but priced for growth it has stopped delivering.

BEAR $108.22

-37.7% vs spot

Probability 25%

Decelerates to high-single; regulation bites.

WHY 25%

The law-of-large-numbers + Booking competition path. 25% weight — a very plausible 'matures gracefully' outcome.

WHAT HAPPENS

After the 2026 lift, growth settles in the high-single digits as Booking out-executes in alternative accommodations and regulation nibbles supply; the FCF margin after stock comp holds at 24-25%.

DCF ~$108 (-38%) — well below spot; the network defends the cash even as growth matures.

BASE $143.35

-17.5% vs spot

Probability 35%

Mid-teens 2026, then ~10%; Experiences ramps.

WHY 35%

Requires the guided mid-teens 2026 to settle near ~10% + modest Experiences/Services monetization. 35% as the central outcome — the network + brand are genuinely durable.

WHAT HAPPENS

The modal path: revenue grows mid-teens in 2026 (the guide), then ~10% as the currency and World Cup lift fades; Experiences/Services begins to monetize, and international under-penetration carries the network at a 25-26% FCF margin after stock comp (38-39% before it).

DCF ~$143 (-17%). At ~10% growth the business is worth ~25× FY25 FCF after stock comp, not the ~31× the price pays — the most likely case sits below spot.

BULL $188.93

+8.8% vs spot

Probability 20%

Experiences/Services + international re-accel.

WHY 20%

Experiences/Services monetizes into a needle-mover + international compounds. ~20%; the relaunch is early but credible.

WHAT HAPPENS

Experiences/Services becomes a real second leg, international scales, and AI-driven conversion lifts the take rate — revenue compounds ~13% a year and the FCF margin after stock comp widens from 25% to 27%.

DCF ~$189 (+9%) — the relaunch pays off; today's price sits closer to this case than to the base.

ULTRA BULL $238.29

+37.2% vs spot

Probability 8%

End-to-end travel hub; AI concierge.

WHY 8%

The full 'Airbnb everything' hub + AI concierge. ~8%, the asymmetric upside the Experiences/Services bet is really for.

WHAT HAPPENS

Airbnb becomes an end-to-end travel/lifestyle platform (homes + services + experiences + AI concierge), expanding TAM well beyond rentals as the FCF margin after stock comp climbs from 26% to 28%.

DCF ~$238 (+37%) — the platform vision fully realized; ~8% probability.

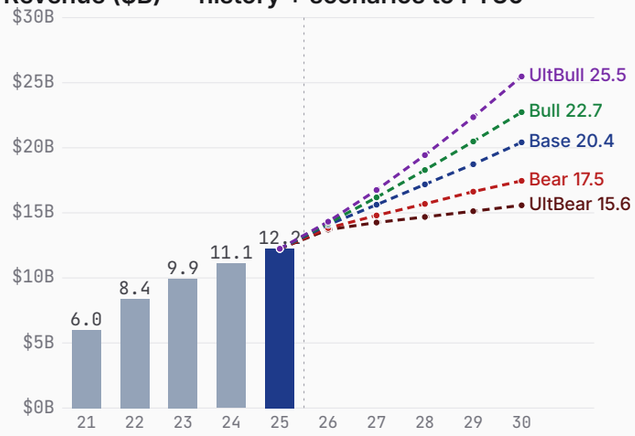
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Airbnb business snapshot

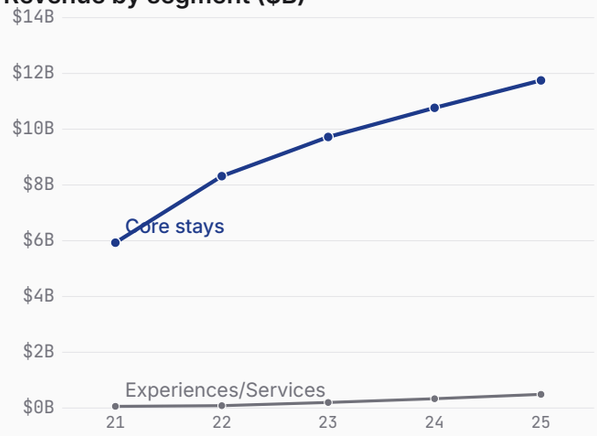
Bear $108.22 Base $143.35 Bull $188.93

FY21-FY25 history + FY26-FY30 scenario projections · calendar fiscal year · FY2025 10-K (Feb'26)

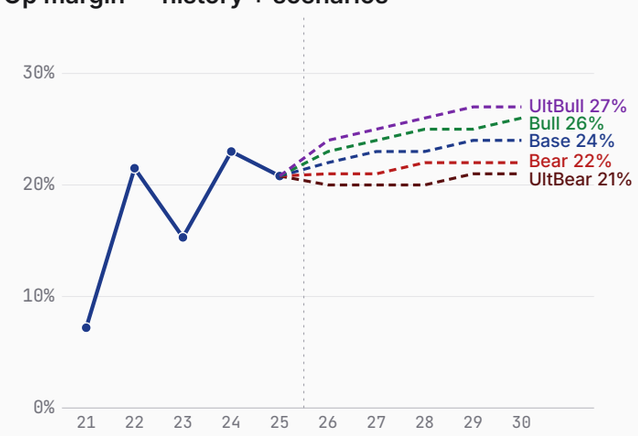
Revenue ($B) — history + scenarios to FY30



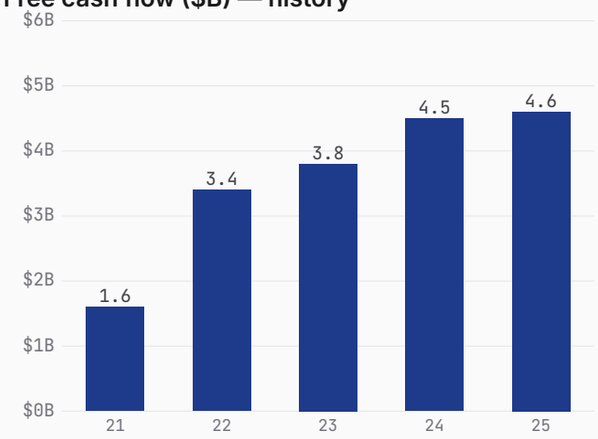
Revenue by segment ($B)



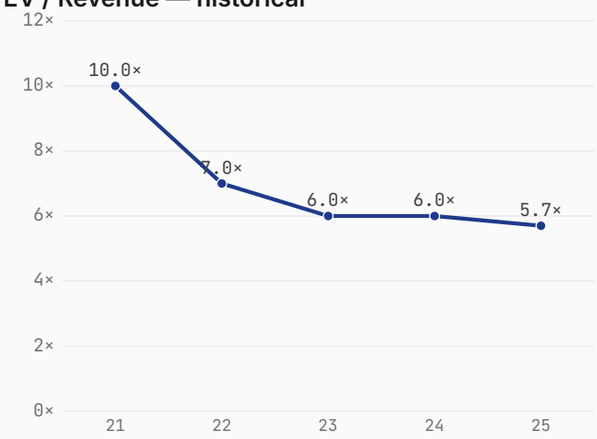
Op margin — history + scenarios



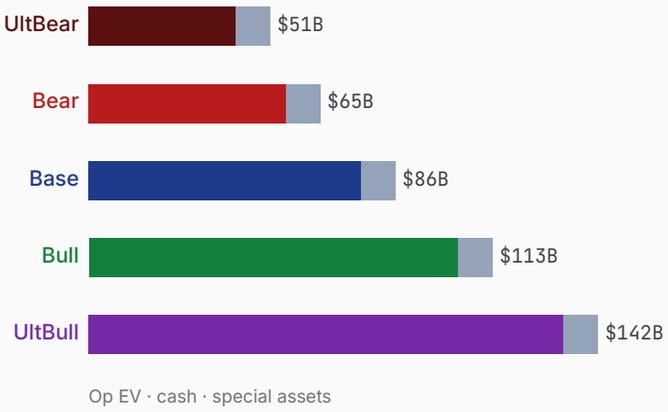
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: Airbnb FY2025 10-K (revenue $12.24B, FCF $4.6B/38%, stock comp $1.59B/13%, ~$9.5B net cash, GBV $91.3B), Q1-Q2'26 8-K/10-Q (FY26 anchored to the raised at-least-mid-teens guide; $2.5B notes, $12.0B cash + ST investments; 597.0M diluted shares). Revenue as a growth-rate path off FY25; FCF = revenue x FCF margin after stock comp (23-28%; the FCF history bars are as reported); Gordon terminal. EV/FCF vs Booking/Expedia.

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Airbnb 7 Powers · the moat, scored

Bear $108.22 Base $143.35 Bull $188.93

Arena. Travel / lodging + experiences — Airbnb (two-sided STR marketplace, ~8M listings, verb-grade brand) vs Booking, Expedia/Vrbo, Google Travel, hotels; defending a network + brand Power as growth matures and regulation tightens.

POWER AUDIT
dominant-power durability: medium-high

POWER AUDIT · 7 POWERS

Scale Economies ■■□	Fixed platform/trust-&-safety/marketing spread over $91B GBV → a 38% reported FCF margin (25% after stock comp).
Network Economies · thesis leans here ■■■	The dominant Power: two-sided host↔guest density; more hosts → more guests → more hosts.
Counter-Positioning ■□□	Was the disruptor vs hotels; incumbents (Booking, Vrbo) have matched the STR model.
Switching Costs ■□□	Weak-medium: hosts multi-list; guests are promiscuous.
Branding ■■■	'Airbnb' is a verb; direct-traffic advantage lowers CAC vs OTAs — durable demand-side Power.
Cornered Resource ■□□	No durable exclusive asset; supply is replicable.
Process Power ■■□	Matching/pricing/trust-and-safety execution at scale.

PEER SET

Booking Holdings — 13% gr · 36% mgn · ~15.6x P/E
Larger GBV; pushing into alternative accommodations (>8M listings, growing faster than ABNB there).

Expedia / Vrbo — 6% gr · 15% mgn · ~11.8x P/E
#3 OTA; Vrbo the direct STR competitor.

Google Travel — · n/a
Disintermediation risk at the search layer.

Hotels / chains — 5% gr · varies
Direct booking + loyalty; the alternative for urban stays.

THREAT VECTORS · FALSIFIERS

Network Economies · Booking in alternative accommodations
falsifier: Booking out-grows ABNB in alt-accommodations bookings for 2+ years.

Branding · Google Travel disintermediation
falsifier: Paid-search dependence rises and direct-traffic share falls.

Scale Economies · STR regulation
falsifier: A flagship metro structurally bans STRs, or registration regimes materially shrink supply.

COMPETITIVE READ

Airbnb's network-economies + verb-grade brand are genuinely durable on the demand side (direct traffic, two-sided liquidity), and the FCF margin is high — 38% as reported, 25% after stock comp. The terminal-value debate is not a competitor out-networking them — it's regulation (dense-urban supply caps) + growth maturation. At ~31× FCF after stock comp the price needs more than the most likely case (growth near 10%, ~17% below it): the Powers are real, but only the bull cases (teens growth held) clear it, and the Experiences/Services relaunch is the swing.

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Airbnb show your work

Bear $108.22 Base $143.35 Bull $188.93 · Weighted $144.24 (-17.0%)

ULTRA BEAR $84.71

ASSUMPTIONS

5y revenue CAGR (%)	+4.9
Year-5 op margin (%)	21.0
WACC (%)	10.0
Terminal growth (%)	2.0
Terminal FCF ($B)	$3.58B
Starting revenue ($B)	12.24
Scenario probability (%)	12

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	13.71	+20%	+3.15	+2.87
FY27	14.26	+20%	+3.28	+2.71
FY28	14.68	+20%	+3.38	+2.54
FY29	15.13	+21%	+3.48	+2.38
FY30	15.58	+21%	+3.58	+2.22

Σ PV explicit FCF	**+12.71**
+ PV terminal (g 2.0%)	28.36

EQUITY BUILD · $B & PER SHARE

Operating EV	$41.07B
+ Cash & investments	$12.00B
− Total debt	$2.50B
= Equity value	**$50.57B**
FY30 shares (M)	597
= Expected per share	**$84.71**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$136.43	$219.72	$353.85	$569.89
0.79×	1.26×	2.04×	3.28×

BEAR $108.22

ASSUMPTIONS

5y revenue CAGR (%)	+7.4
Year-5 op margin (%)	22.0
WACC (%)	9.5
Terminal growth (%)	2.5
Terminal FCF ($B)	$4.36B
Starting revenue ($B)	12.24
Scenario probability (%)	25

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	13.83	+21%	+3.32	+3.03
FY27	14.80	+21%	+3.55	+2.96
FY28	15.69	+22%	+3.76	+2.87
FY29	16.63	+22%	+4.16	+2.89
FY30	17.46	+22%	+4.36	+2.77

Σ PV explicit FCF	**+14.52**
+ PV terminal (g 2.5%)	40.59

EQUITY BUILD · $B & PER SHARE

Operating EV	$55.11B
+ Cash & investments	$12.00B
− Total debt	$2.50B
= Equity value	**$64.61B**
FY30 shares (M)	597
= Expected per share	**$108.22**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$170.36	$268.19	$422.20	$664.65
0.98×	1.54×	2.43×	3.83×

BASE $143.35

ASSUMPTIONS

5y revenue CAGR (%)	+10.8
Year-5 op margin (%)	24.0
WACC (%)	9.0
Terminal growth (%)	3.0
Terminal FCF ($B)	$5.31B
Starting revenue ($B)	12.24
Scenario probability (%)	35

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	14.08	+22%	+3.52	+3.23
FY27	15.62	+23%	+3.90	+3.29
FY28	17.19	+23%	+4.47	+3.45
FY29	18.73	+24%	+4.87	+3.45
FY30	20.42	+24%	+5.31	+3.45

Σ PV explicit FCF	**+16.86**
+ PV terminal (g 3.0%)	59.22

EQUITY BUILD · $B & PER SHARE

Operating EV	$76.08B
+ Cash & investments	$12.00B
− Total debt	$2.50B
= Equity value	**$85.58B**
FY30 shares (M)	597
= Expected per share	**$143.35**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$220.56	$339.36	$522.15	$803.39
1.27×	1.95×	3.01×	4.63×

BULL $188.93

ASSUMPTIONS

5y revenue CAGR (%)	+13.2
Year-5 op margin (%)	26.0
WACC (%)	8.5
Terminal growth (%)	3.5
Terminal FCF ($B)	$6.14B
Starting revenue ($B)	12.24
Scenario probability (%)	20

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	14.20	+23%	+3.55	+3.27
FY27	16.19	+24%	+4.21	+3.58
FY28	18.29	+25%	+4.94	+3.87
FY29	20.49	+25%	+5.53	+3.99
FY30	22.74	+26%	+6.14	+4.08

Σ PV explicit FCF	**+18.78**
+ PV terminal (g 3.5%)	84.51

EQUITY BUILD · $B & PER SHARE

Operating EV	$103.29B
+ Cash & investments	$12.00B
− Total debt	$2.50B
= Equity value	**$112.79B**
FY30 shares (M)	597
= Expected per share	**$188.93**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$284.09	$427.17	$642.31	$965.82
1.64×	2.46×	3.70×	5.56×

ULTRA BULL $238.29

ASSUMPTIONS

5y revenue CAGR (%)	+15.8
Year-5 op margin (%)	27.0
WACC (%)	8.0
Terminal growth (%)	3.5
Terminal FCF ($B)	$7.13B
Starting revenue ($B)	12.24
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	14.32	+24%	+3.72	+3.45
FY27	16.76	+25%	+4.52	+3.88
FY28	19.44	+26%	+5.44	+4.32
FY29	22.35	+27%	+6.26	+4.60
FY30	25.48	+27%	+7.13	+4.86

Σ PV explicit FCF	**+21.10**
+ PV terminal (g 3.5%)	111.66

EQUITY BUILD · $B & PER SHARE

Operating EV	$132.76B
+ Cash & investments	$12.00B
− Total debt	$2.50B
= Equity value	**$142.26B**
FY30 shares (M)	597
= Expected per share	**$238.29**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$350.13	$514.45	$755.90	$1,110.66
2.02×	2.96×	4.35×	6.39×

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Airbnb People · Opportunity · Context · Deal

Bear $108.22 Base $143.35 Bull $188.93

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Brian Chesky · `founder-led` — 18 yrs in seat

13.7%
insider ownership

HIGH
key-person risk

Capital allocation (realized)
Disciplined capital return: $2.1B of buybacks in 1H26 ($3.4B left on the Aug-2025 $6B program); ~634M fully diluted shares, down ~10% since buybacks began in Q3 2022. $2.5B of A-/Baa1 notes (Mar 2026) refinanced the $2.0B converts. Build-not-buy; no dividend. Stock comp ($897M in 1H26, +15%) partly offsets the buyback.

Incentive alignment
$1 salary, no cash bonus; paid via a 2020 ten-year performance RSU (~12M units) that vests only against escalating share-price hurdles (Tranche 2 vested Nov 2024). Chesky has pledged to donate the net proceeds of his CEO equity to charity.

GOVERNANCE FLAGS

- multi-class super-voting (Class B = 20 votes) → founder bloc ~79% voting control (binding agreement); fixed Dec-2040 sunset
- CEO + Chairman combined, mitigated by a lead independent director (Ken Chenault)
- fully-independent board committees, no controlled-company exemptions used; classified board
- CEO also founding an outside, independently funded AI lab (Jun 2026) — split attention; CTO and business-chief exits within nine months

THE FOUR LEGS

People ●●●○○
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value, then position-sized.
`-17.0% vs spot $173.69`

> **PEOPLE READ**
> Founder-CEO on a $1 salary, paid only if the stock clears price hurdles, with buybacks cutting the fully diluted count ~10% since 2022 — strong alignment and capital discipline. The offsets: a ~79% founder voting bloc + combined CEO/Chair (mitigated by a lead independent director, fully independent committees and a fixed 2040 sunset), and a CEO now also founding an outside AI lab.

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Airbnb supporting analysis · disclaimers · glossary

Bear $108.22 Base $143.35 Bull $188.93

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **2026 is running ahead of the base.**
Revenue grew +18%/+17% in Q1-Q2 (~3 points currency), yet the base fades growth to 11% in 2027 and 9% by 2029.

2 **Stock comp is held at 13% of revenue.**
It grew +15% in 1H26, slower than revenue; if that persists, the modeled 25-26% margin after stock comp is too low (~$5 a share per point in the base).

3 **Network economies + a verb brand.**
'Airbnb' is the default for alternative stays; direct traffic keeps acquisition costs below online travel agencies' — room for margins above the base.

4 **Experiences/Services is barely in the base.**
The 2025 relaunch and the 2026 hotels line widen the market beyond homes; the base credits only modest monetization, so real traction is upside to it.

5 **International is under-penetrated.**
Latin America / Asia-Pacific grow faster than core — a multi-year runway the base's 9% out-year growth may understate.

FALSIFICATION TRIGGERS

Bull validation

revenue growth holds 13%+ in 2027 · stock comp under 11% of revenue · Experiences/Services becomes material · international outgrows core

Bear validation

growth decays to high-single · major-metro bans spread · Booking out-grows ABNB in alternative accommodations · multiple de-rates toward peers

Reframe needed

if a flagship market structurally bans short-term rentals or Google disintermediates search, re-rate network durability and terminal growth

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Forward-looking statements.

Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

GBV / take rate — Gross booking value (~$91B FY25) x ~13.4% take = revenue; the two metrics that drive the model.

FCF after stock comp — The FCF the DCF values: net of stock-based compensation (13% of FY25 revenue), 25% of revenue vs 38% reported.

Network economies — Helmer Power: more hosts → more guests → more hosts; the two-sided liquidity flywheel that is Airbnb's core moat.

STR regulation — Short-term-rental bans/registration (Barcelona 2028 phase-out, NYC -92%) — the structural cap on dense-urban supply.

Experiences / Services — The 2025 relaunch (locally-hosted activities + in-stay services); the TAM-expanding optionality, unmonetized today.